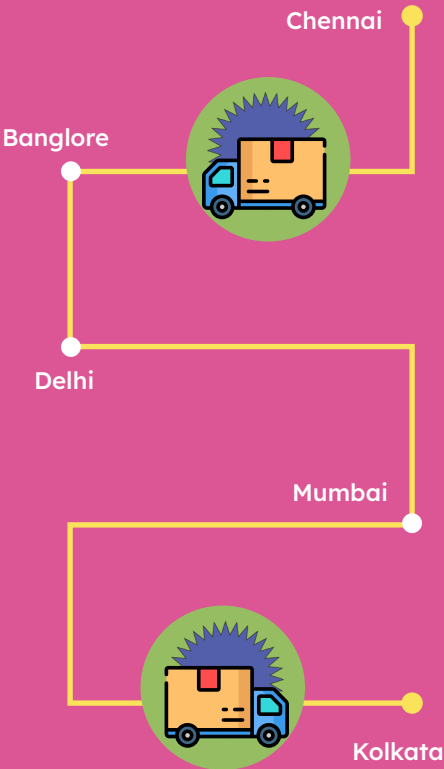


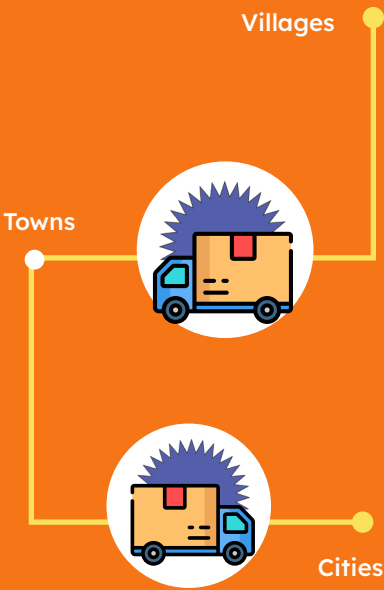
PROCESS

Any activities conducted by companies can give them a competitive advantage. Suppose there is a logistics company that only delivers in large cities. The volume of trade in large cities, such as Mumbai, Bangalore, Delhi, Chennai, and Kolkata, will be quite high. So, their trucks will always be near capacity. Due to their scale of operations, their average costs will be low.



Volume of Trade	↑
Scale of Operations	↑
Average Costs	↑

Other logistics companies that deliver to smaller cities, towns and villages as well will have to deal with higher per-unit costs. This was an example of an internal advantage activity. In one of the later chapters, we will go over a value chain comparison that will help you identify processes forming competitive advantages.



Volume of Trade	↓
Scale of Operations	↓
Average Costs	↑